



Karnataka Export Chronicle

QUARTERLY NEWSLETTER ►

JULY TO SEPTEMBER 2024

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Perspective



B.K. Shivakumar
Director (Exports) &
Managing Director

It was indeed an exciting and action-packed quarter gone by for VTPC, the mandated nodal agency for the promotion of international trade from the state. First up! The State witnessed a 9.59% increase in overall exports, 10.09% rise in service exports and 7.20% rise in merchandise exports during the first quarter of 2024-25 in comparison to a similar period of the previous year. Bengaluru Urban District led the pack followed by Dakshina Kannada, Kolar and Bengaluru Rural districts.

VTPC, on behalf of the Department of Industries & Commerce, leveraged the opportunity to be part of significant meetings pertaining to Board of Trade, National Chief Secretaries Conference, Annual Forum of the Public Affairs Forum of India, besides several others including Meetings with various Indian Embassies across USA, Germany, Australia and more, that proved to be an extremely engaging forum in the international trade landscape.

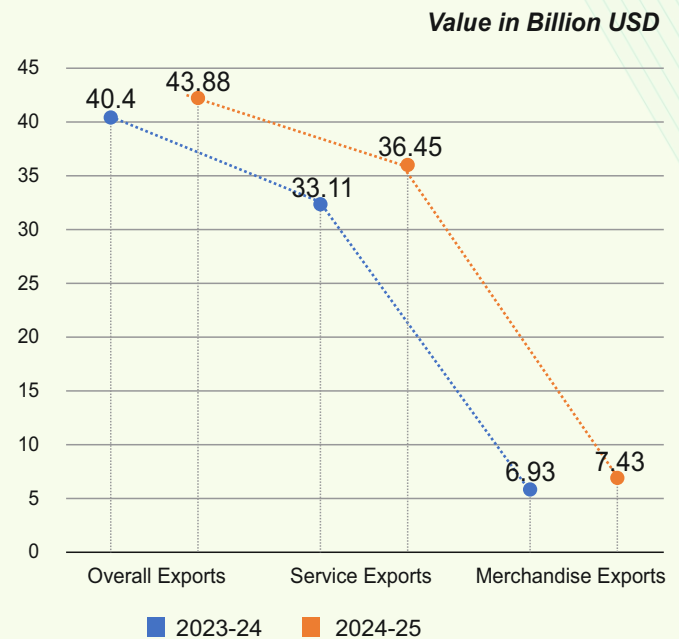
In the current quarter of 'Karnataka Export Chronicle' we present 'Belgium' as the Focus Country and 'Coffee' as the Focus Product for analysis. Familiarize yourselves with Kasuti Embroidery, an ancient textile weave and a famed GI tagged product from Dharwad District, Karnataka, in our GI Spotlight Section, besides a successful weaver behind the product.

As we curate each quarter of 'Karnataka Export Chronicle', it is our endeavour to ensure that we share useful cues and learnings in the exports space. On that note, we invite your thoughts, feedback and comments to nurture and make this platform an effective and useful tool for exporters and budding entrants in this exciting arena.

1 Karnataka's Export Performance

(Karnataka's Export Performance 1st quarter 2024-25 (April to June) as compared to 1st quarter 2023-24 (April to June).)

- Karnataka has witnessed 9.59% increase in overall exports in the first quarter of 2024-25 in comparison with a similar quarter in the previous year
- Service Exports from the State have shown 10.09% rise in exports.
- Merchandise Exports from the state have shown a positive trend with an increase of 7.20%
- A reduction in exports in Agriculture and Processed Food products, Iron Ore and Minerals and Marine Products has been observed
- Engineering products, Coffee, Aerospace and Spices products have shown positive trend in exports.
- Bengaluru Urban District tops in exports during the 1st quarter 2024-25 followed by Dakshina Kannada, Kolar and Bengaluru Rural districts.
- The following districts have shown rise in exports namely: Kolar, Kodagu, Chikkaballapura, Hassan & Dharwad districts.
- There is a decline of exports from 13 districts namely; Chitradurga, Ballari, Belagavi, Udupi, Raichur, Koppal, Haveri, Bagalkot, Kalaburagi, Vijayapura, Gadag, Uttara Kannada & Yadgiri districts.



TOP EXPORT MARKETS 1st Qtr 2024-25



USA
1.59 BN \$



UAE
0.54 BN \$



Netherlands
0.61 BN \$



Malaysia
0.38 BN \$



South Africa
0.30 BN \$

TOP EXPORTED COMMODITIES 1st Qtr 2024-25



Petroleum
1.10 BN \$



**Telecom
Instruments**
1.07 BN \$



**Electronic
Instruments**
1.10 BN \$



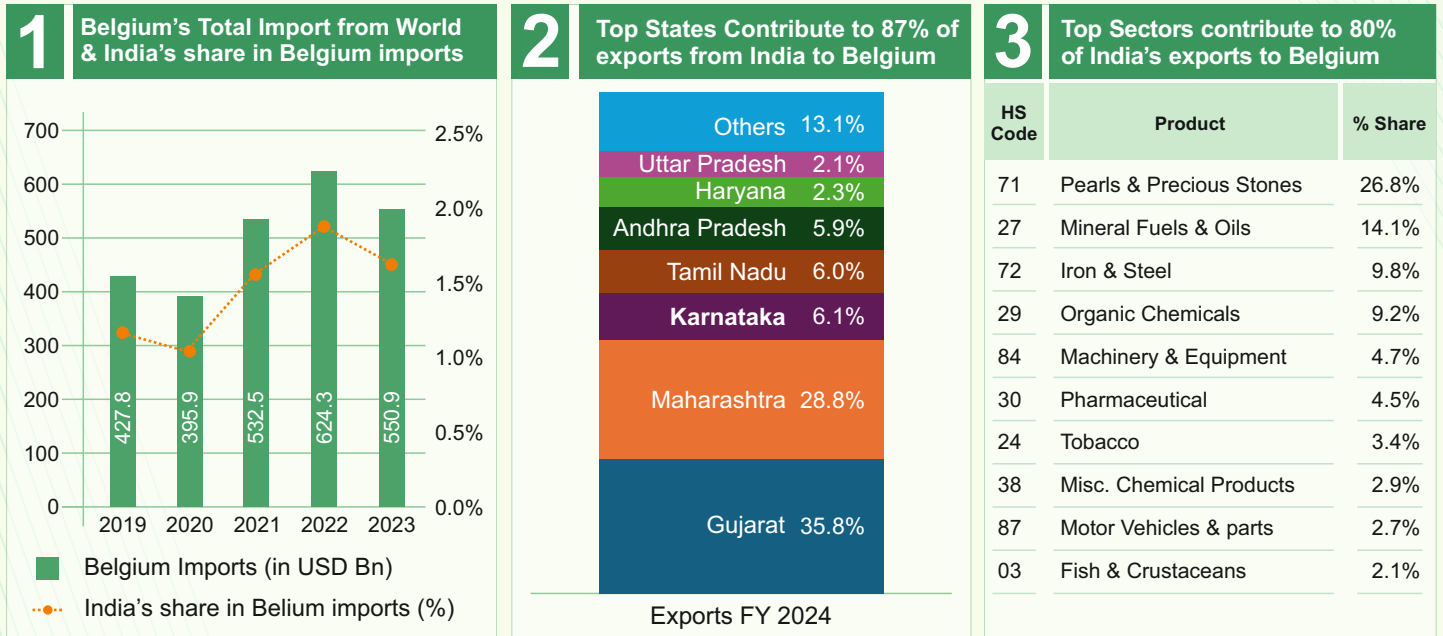
**RMG and
Accessories**
0.50 BN \$



**Drug
Formulation**
0.27 BN \$

2 Focus Country: BELGIUM

Belgium imports are valued at USD 550.9 Bn as of FY 2023-24 ranking 14th largest economy in the world witnessing growth of 6.5% over the last 4 years. India's imports in Belgium estimated at USD 6.8 Bn comprising 1.2% of total imports



Major Imports by Belgium - Worldwide FY 24

HS Code Imports	Product % Share	Belgium	Total
27	Mineral Fuels & Oils	89,980.5	16.3%
30	Pharmaceutical Products	71,274.8	12.9%
87	Motor Vehicles & parts	64,646.9	11.7%
84	Machinery & Equipment	37,714.1	6.8%
85	Electrical System Design Manufacturing Products	35,531.4	6.5%
29	Organic Chemicals	34,486.6	6.3%

Karnataka Exports to Belgium FY 24

(Value in Mn USD)

HS Code	Product	Karnataka Exports	Belgium Total Imports
72	Iron & Steel	158.6	14,479.8
29	Organic Chemicals	103.3	34,486.6
9	Coffee, Tea, Mate & Spices	57.7	1,836.6
24	Tobacco	24.8	1,784.6
84	Machinery & Equipment	23.6	37,714.1
62	Apparel & Clothing (not knitted)	21.6	3,679.1

Focus Products for Exports to Belgium

- Trade Trends: India's export to Belgium has witnessed a growth of ~7.3% & Karnataka being the 3rd Largest state exporting to Belgium accounts for USD 475.7 Mn as of FY 2024
- Key Products: Karnataka's share in exports to Belgium include Iron & Steel, Organic Chemicals, Coffee, Tobacco, Machinery & Equipment and Textiles (not knitted) accounting for 82% of overall exports
- Potential Products witnessing High Growth: Emerging products with high growth include Soap & other preparations (115%), Optical & medical equipment (70.4%), Aircraft and space craft components (65.6%), Animal fats & oils (258.7%), Aluminium articles (20.6%), Essential oils (34.6%), etc.

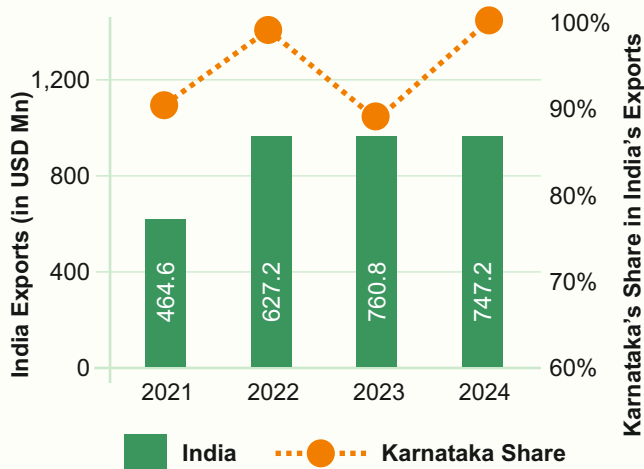


3 Focus Product for Export: Coffee (HS 0901)

India accounts ~2% of global coffee exports estimated at an average of USD 711.8 Mn with some of the top importers contributing to 50% of coffee imports include USA, Germany, France, Italy, Canada and Belgium estimated at an average of USD 21.98 Bn from FY 2021 – 24.

1 India and Karnataka's contribution of Coffee Exports at Global Level

Global Imports	2021	2022	2023	2024
	31,524	36,587	48,635	43,766



2 Top Importers of Coffee across the World

Average Imports
USD 43.1 Bn (FY2021-24)

Switzerland	3%
United Kingdom	3%
Spain	3%
Netherlands	4%
Japan	4%
Belgium	4%
Canada	4%
Italy	5%
France	7%
Germany	11%
USA	19%

**Exports
FY 2024**

In India, Karnataka is the largest coffee producing state comprising approx. 70% of overall production. Further, exports of Coffee from Karnataka is estimated at USD 652.4 Mn comprising approx. 91.8% of overall average exports from India from FY2021-24

3 Key Coffee Exports from Karnataka – Top Trade Partners and Sub Products at 8 Digit Level

- Coffee exports from Karnataka have witnessed a significant growth of 21.0% from USD 402.4 Mn in FY 2021 to USD 712.6 Mn in FY 2024
- Key trade partners accounting for ~62% of overall exports include Italy (24.3%), Germany (14.6%), Belgium (8.1%), UAE (5.5%), Jordan (5.2%) & Kuwait (4.2%)
- Top 3 Markets with highest growth of coffee exports over last 3 years include UAE (63.0%), Italy (24.1%), Germany (18.7%)
- Some of the prominent coffee products from Karnataka contributing to 71% of exports include Rob Cherry Other and AB grade and Arabica Plantation Other and A Grade

HS Code	Product	Export Value	% Share
9011149	Rob Cherry Other Grade	201.5	28.3%
9011141	Rob Cherry AB	182.0	25.5%
9011119	Arabica Plantation Other Grade	67.6	9.5%
9011111	Arabica Plantation A	58.0	8.1%
9011139	Rob Parchment Other Grade	44.3	6.2%
9011131	Rob Parchment AB	44.2	6.2%
9011129	Arabica Cherry Other Grade	28.7	4.0%
9011112	Arabica Plantation B	27.0	3.8%
9011142	Rob Cherry PB	17.9	2.5%
9011145	Rob Cherry Bulk	12.4	1.7%
	Others	29.0	4.1%
Total Exports of Coffee (HS 0901) as of FY2023-24		712.6	100%

Values in USD Mn

④ Exim Notifications - 2nd Quarter (2024-25)

1. Extension of Interest Equalisation Scheme (IES) for Pre and Post shipment Rupee Export Credit for three months beyond 30th September, 2024-vide Notification No.18/2024-25 dated 30.09.2024.
2. Amendment in Export Policy of Non-Basmati White rice under HS Code 1006 30 90–Vide Notification No.31/2024-25 dated 28.09.2024.
3. Amendment in Export policy conditions of onions – Vide Notification No.28/2024-25 dated 13.09.2024.

⑤ Key Initiatives/Meetings in Export Promotion

MD VTPC represents Karnataka at key forums



MD, VTPC inaugurated the MUFG Bank on behalf of the Commissioner for Industrial Development, Govt. of Karnataka on 4th July'24, at Bengaluru



Talk on future of global trade

Team VTPC participated in a talk on 'The future of global trade', by ShriAnupamManur, Professor in Economics, International Trade, Public Policy, etc., Takshashila Institution, 3rd Aug'24, at ARI, Bengaluru.



Niti Aayog Workshop

MD, VTPC represented at the National Workshop on "Site Adjacent Factory Employee (S.A.F.E.) Accommodation" 7th Aug'24, organised by NITI Aayog in Bharat Mandapam, New Delhi



FKCCI Export Awards

MD, VTPC received a Memento from Hon'ble Min for State, Labour and Employment, on 16th Aug'24, at the FKCCI Export Awards function as Jury Member



MD, VTPC flagged off the JSS Urban Haat as Chief Guest, 2nd Aug'24, Mysore



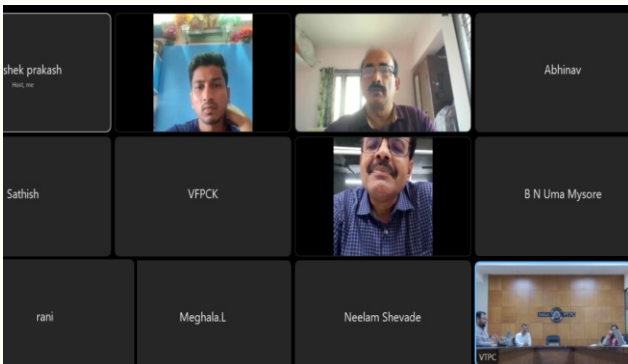
National Chief Secretaries Conference

MD, VTPC represented Karnataka at the 4th National Chief Secretaries Conference chaired by Secretary, DPIIT, Govt. of India on 28th Aug 2024 at Vanijya Bhavan, New Delhi.



Board of Trade Meeting

MD, VTPC represented Karnataka & made a presentation at the Board of Trade meeting held under the Chairmanship of Hon'ble Union Commerce and Industry Minister on 13th Sept'24, at Hotel Westin Mumbai Garden City, Mumbai



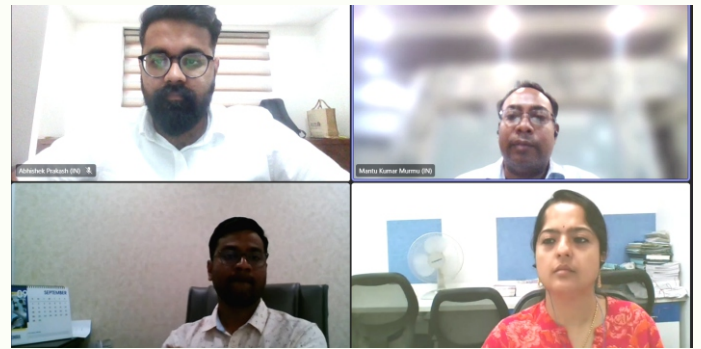
EMTP Alumni Connect

VTPC-Export Management Training Program (EMTP) Alumni Connect, 10th Sept' 24, through Virtual Mode to understand the challenges being faced by budding entrants to exports for effective redressal.



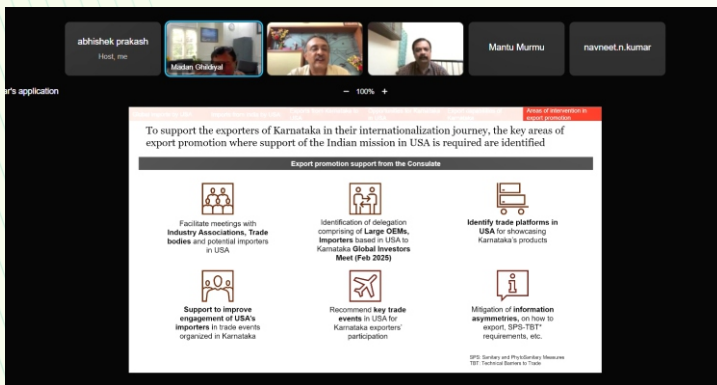
11th Annual Forum of PAFI

Karnataka was the Partner State at the 11th Annual Forum of Public Affairs Forum of India (PAFI), held on 17th Sept'24, at Taj Palace Hotel, New Delhi, with the theme "India at 2030: Doubling the Economy to \$7 Trillion". On this occasion, Shri B.K Shivakumar, Director (Exports) & Managing Director, represented Karnataka and made a presentation on "An Inclusive and Sustainable Roadmap to 2030"



Outreach Program

VTPC engaged with industrial associations to elicit inputs on key challenges faced by exporters in Karnataka. The outreach involved interactions with Shri Ravish Vadi, Vice President and Ms. Priyanka Chakraborty, Assistant Director, EEPC, besides other associations like ACMA, SIATI, APEDA, EEPC, CHEMEXCIL.



Exploring Global latent trade opportunities:

VTPC had interactions with the following Indian Embassies during the quarter through Virtual Mode:

- 5th Sept'24: Indian Embassy, Germany
- 27th Aug'24: Indian Embassy, Australia
- 20th Aug'24: Indian Embassy, South Africa
- 6th Aug'24: Indian Embassy Atlanta, USA
- 29th July'24: Indian Embassy, Chicago, USA
- 24th July'24: Indian Embassy, Turkey

Gamut of Meetings held

Logistics

- 3rd City Logistics Coordination Committee, 20th Sept'24, VikasaSoudha, Bengaluru
- Participation and Support in LEADS 2024 Study and Workshop, 20th Sept'24, through Virtual Mode
- 2nd meeting of City Logistics Coordination Committee, 3rd Aug'24, VikasaSoudha, Bengaluru
- PM Gati Shakthi National Master Plan Meeting, 1st Aug'24, VikasaSoudha, Bengaluru
- Discussion pertaining to Logistics and Warehousing Policy, 25th July'24, VikasaSoudha, Bengaluru

Trade Infrastructure for Exports Scheme (TIES)

- TIES Meeting, 3rd Sept'24, VikasaSoudha, Bengaluru
- 19th E.C Meeting regarding TIES projects, 27th Aug'24, chaired by Commerce Secretary at VanijyaBhavan, New Delhi
- Review of progress of projects under TIES, 26th July'24, through Virtual mode

Other Meetings

- Meeting pertaining to the development of the coir sector in the State, 2nd Sept'24, Office of MSME Director, Bengaluru
- GI Stakeholders Meet pertaining to impact of EU UK FTAs and GI lists, 30th Aug'24 organised by DPIIT GOI through Virtual Mode
- Annual General Meeting of VTPC, 20th Aug 2024, KhanijaBhavan, Bengaluru
- 102nd GC of VTPC, 22nd July 2024, KUM Meeting Hall, Kanija Bhavan, Bengaluru

6 Capacity Building Programs (Exports)

Export Management Training Programs (EMTP)



24th to 29th June 2024, 122nd EMTP, Mysuru



123rd EMTP, 5th to 10th Aug'24, B'lore



MSME Roundtable

Shri C.S Bhaskar, Export Coordinator, VTTC represented as Panelist at the Roundtable on "Robust Export Landscape and Trade Finance Opportunities for Inclusive and Sustainable Growth", organised by ASSOCHAM, on 26th July'24, at The Capitol Hotel, Bengaluru

MSME Roundtable

Shri C.S Babu Nagesh, Joint Director, VTTC, represented at the Panel Discussion of the ASSOCHAM MSME Roundtable on "Nurturing MSME towards One Trillion Economy in the State of Karnataka" organized by ASSOCHAM on 13th August 2024 at Hotel Radisson Blu, Bangalore



Session on Exports for women entrepreneurs

VTTC presented a session on exports at the Entrepreneurship Development Program organised by AWAKE, 19th July 2024, B'luru



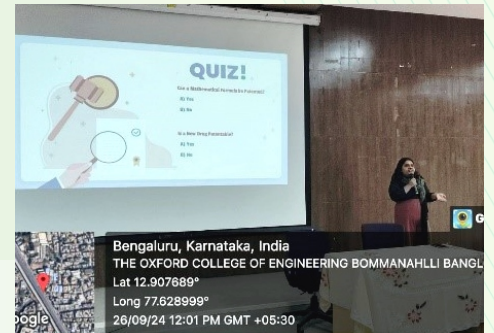
Session on Agri Exports

VTTC presented a Session on Exports, at the Agri and Processed Food Product Export Training Program, organised by FIEO, 24th July'24, at NABARD, Bengaluru

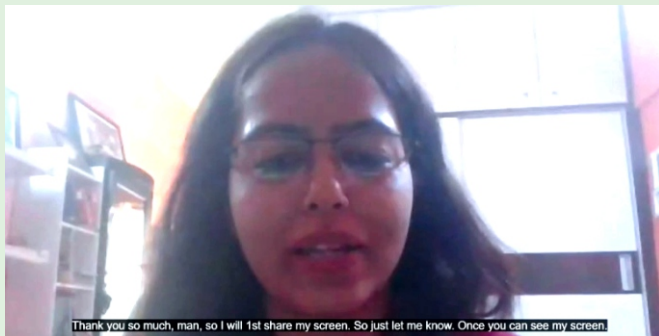


VTTC participated in the FTA Outreach Program organised by DGFT, 15th July 2024, Bengaluru

7 Capacity Building Programs (IPR)



Orientation Sessions on IPR Basics in association with Oxford College of Engineering, Bengaluru, 25th and 26th Sept'24



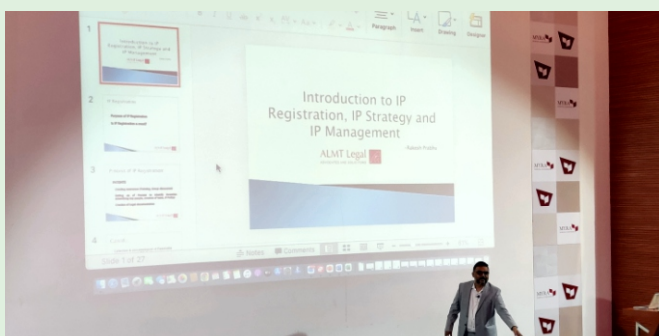
Webinar on "Angel Investment and VC Funding Opportunities for early-stage Entrepreneurs" 23rd July'24, in association with Sairam College of Engineering, Bengaluru



FDP on Intellectual Property Rights in association with Padmashree Institute of Management and Sciences, Bengaluru, as part of 5 Days FDP held between 26th to 30th July 2024



FDP on Design Thinking for Growth, in association with Kirloskar Institute of Management, Harihar, 6th July 2024



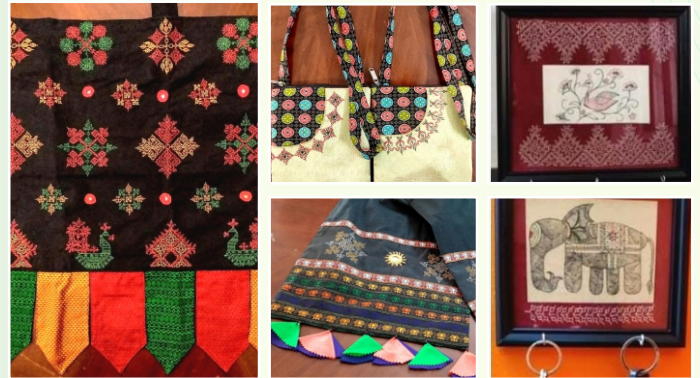
Workshop on Significance of IPR tools in Management in association with Myra School of Business, Mysore, 20th Aug 24

8 GI Spotlight: Kasuti Embroidery

Kasuti Embroidery, a special craft practiced primarily in the Dharwad district of Karnataka, traces its origins to the Chalukya period, which was marked by a resurgence in the field of art and architecture. Historically, it was popular among the women folk, in particular those hailing from the sculptor's household, engaged in temple construction. The unique craft mirrors the tradition, customs and people of Karnataka. The name 'Kasuti' is derived from 'Kai' meaning hand and Suti- synonymous with cotton. The craft reflects a manual process and the flair of the hand with the use of cotton threads. In the olden times, this embroidery was carved on temples as motifs and traditionally used in the 1000-year-old ilkalsarees and blouse pieces.

What is unique about the time-honoured technique is the precision with the embroidery on both sides of the cloth and the fact that the embroidery can only be done by counting the threads of weft and warp of cloth and no design can be traced or implemented as outlines. Interestingly, Kasuti embroidery has no right or wrong side and there is no knot

used at the beginning or at the end of the thread. The Kasuti work reflects strong traditional designs like palanquins, elephants and creeping lotuses, with about 700 designs spanning categories like Gandole Kamala, Gopi Kamala, Chittu Kamala, GundalaGopura, Peacock, Elephant, Lions, etc. This embroidery work is normally taken as a job work and done on voil, cotton and silk.



9 GI Artisan Corner

Meet Smt. Arati Hiremath, the successful proprietor of Artikrafts, which is into the famed GI tagged – Kasuti Embroidery, mapped to the Dharwad district in Karnataka. Her tryst with the magical weave dates back to the year 1991. Arati reminisces that while embroidery was always an area of passion, she was not so familiar with Kasuti Embroidery. Her interest in the craft ignited when two aged artisans approached her for help and that's when she learnt Kasuti and ever since there was no looking back. She made all out efforts to popularize the craft at a time when it was languishing and emerged as a pioneer in not just setting up her business, but also making a dent in the market on a commercial basis. Commencing her business with just 2 artisans, Arati today boasts of a robust 200 plus artisan pool who work dedicatedly and with passion for Artikrafts.

What were among her key challenges that she faced and how did she turn it around? Arati opines that finance has always been a major roadblock. With modest beginnings of an investment of Rs.7000/-, Artikrafts grew organically, without any props or grants from any source, with their sheer toil and strategy. Concerted efforts were made towards acclimatizing to the market demand and aligning themselves accordingly. However Arati admits that while Kasuti embroidery was done totally in free hand in hindsight, of late they have resorted to stenciling due to a deluge of bulk orders. She believes that their efforts have borne fruit and the high potential craft is now acclaimed worldwide.



An epitome of creativity, Arati is making her best attempts and with passion, to leverage the same for upscaling in her journey for the highest good of the craft. Arati believes that Kasuti is a versatile embroidery and the youth of the day is extremely brilliant to replicate its applications on various fashion wear, lifestyle and home décor. Looking at the bright potential, Artikrafts is already in talks with few designers who are scouting opportunities in the field. Appreciating her efforts to upscale the craft, Sri Satya Sai University of Human Excellence recognized Arati as a hidden gem and conferred on her an award for excellence in the field of arts and crafts. Arati prides to be among the seven women who were recipients of the coveted award. Thanks to the immense potential that social media and digital platforms offer today, Arati has been actively promoting and popularizing her work through key social media handles. For further information or collaboration, one could login to www.artikrafts.in



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